SENATE BILL 1667
By Powers

HOUSE BILL 1690

By Hicks T

AN ACT to amend Tennessee Code Annotated, Title 29; Title 55 and Title 56, relative to motor vehicle financial responsibility.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 55-12-211, is amended by adding the following new subsection:

(d)

(1) The department of revenue or a county clerk shall not process an application for initial issuance or renewal of registration of a motor vehicle after the owner of the motor vehicle becomes subject to issuance of a notice under § 55-12-210(a) until the applicant provides documentation pursuant to subdivision (a)(3). If the applicant elects to use a policy of insurance and financial responsibility insurance certificate as proof of financial security under subdivision (a)(3)(A), then the documentation must state that the policy will be in force for a period of not less than thirty (30) days.

(2) For purposes of this subsection (d), an owner of a motor vehicle becomes subject to issuance of a notice under § 55-12-210(a) if the department has included a designation in the Tennessee Vehicle Title and Registration System (VTRS) database or other database available to county clerks that identifies there is evidence based on either the IICMVA model or the full book of business download process described in § 55-12-207 that the motor vehicle is not insured and the department has not issued a notice under § 55-12-210(a) to the owner of the motor vehicle.

SECTION 2. Tennessee Code Annotated, Section 55-12-210(a)(2), is amended by deleting "twenty-five-dollar coverage failure fee" and substituting instead "five-hundred-dollar coverage failure fee" and by deleting "The notice described in subdivision (a)(1)" and substituting instead "Subject to subsection (h), the notice described in subdivision (a)(1)".

SECTION 3. Tennessee Code Annotated, Section 55-12-210(b)(1)(A), is amended by deleting the subdivision and substituting instead:

(A) Impose on the owner of the motor vehicle a five-hundred-dollar coverage failure fee. Of this fee, two hundred dollars ($200) must be distributed to the county clerk of the county in which the motor vehicle is registered, fifty dollars ($50.00) must be distributed to the department of safety, and the remainder must be deposited into the uninsured motorist identification restricted fund created in § 55-12-213. Twenty percent (20%) of the revenue distributed to the county clerk must be earmarked for the county clerk's work in administration of the vehicle insurance verification program and must not revert to the county general fund at the end of the budget year if unexpended, and the remainder of the revenue distributed to the county clerk must be retained by the clerk and handled in the same manner as all other fees collected by the clerk for the clerk's benefit.

SECTION 4. Tennessee Code Annotated, Section 55-12-210(b)(2), is amended by deleting the language "one hundred-dollar continued coverage failure fee" and substituting instead the language "one thousand-dollar continued coverage failure fee".

SECTION 5. Tennessee Code Annotated, Section 55-12-210(c)(1), is amended by deleting the subdivision and substituting instead:

(1) Shall impose on the owner of the motor vehicle a one thousand-dollar continued coverage failure fee, which is in addition to the coverage failure fee imposed under subdivision (b)(1)(A). Of this continued coverage failure fee, four hundred dollars

($400) must be distributed to the county clerk of the county in which the motor vehicle is registered, one hundred dollars ($100) must be distributed to the department of safety, and the remainder must be deposited into the uninsured motorist identification restricted fund created in § 55-12-213. Twenty percent (20%) of the revenue distributed to the county clerk must be earmarked for the county clerk's work in administration of the vehicle insurance verification program and must not revert to the county general fund at the end of the budget year if unexpended, and the remainder of the revenue distributed to the county clerk must be retained by the clerk and handled in the same manner as all other fees collected by the clerk for the clerk's benefit.

SECTION 6. Tennessee Code Annotated, Section 55-12-210, is amended by adding the following as a new subsection:

(h)

(1) If an owner of a motor vehicle becomes subject to issuance of a second or subsequent notice as described in subsection (a) within three (3) years from the date of the first notice the department issued to the owner under subsection (a), then the only fee imposed under this section is a one thousand five hundred-dollar repeated coverage failure fee. In lieu of the statement described in subdivision (a)(2), the notice described in subdivision (a)(1) must include a statement that if the owner of the motor vehicle fails to comply with the requirements set forth in the notice, the owner of the motor vehicle is subject to a one thousand five hundred-dollar repeated coverage failure fee and suspension or revocation of the owner's motor vehicle registration. The department shall not provide a request for information under subdivision (a)(3) or notices under subsections (b) and (c) to owners who become subject to such second and subsequent notices. The notice described in subdivision (a)(1), which includes

the statement described in this subdivision (h)(1), and the notice described in subdivision (h)(2)(C) are the only two (2) notices required to be provided to such owners.

(2) If the owner of the motor vehicle fails to provide satisfactory proof or a statement as described in subsection (a), then the department of revenue:

(A) Shall impose on the owner of the motor vehicle a one thousand five hundred-dollar ($1,500) repeated coverage failure fee. Of this repeated coverage failure fee, six hundred dollars ($600) must be distributed to the county clerk of the county in which the motor vehicle is registered, one hundred fifty dollars ($150) must be distributed to the department of safety, and the remainder must be deposited into the uninsured motorist identification restricted fund created in § 55-12-213. Twenty percent (20%) of the revenue distributed to the county clerk must be earmarked for the county clerk's work in administration of the vehicle insurance verification program and must not revert to the county general fund at the end of the budget year if unexpended, and the remainder of the revenue distributed to the county clerk must be retained by the clerk and handled in the same manner as all other fees collected by the clerk for the clerk's benefit;

(B) Shall suspend or revoke the motor vehicle owner's registration; and

(C)

(i) Shall provide notice to the motor vehicle owner of the legal consequences of operating a motor vehicle with a suspended or revoked registration and without owner or operator's proof of financial security as required by this chapter, and instructions on how to effect the reinstatement of the motor vehicle owner's registration; or

(ii) May direct a designated agent to provide the notice and instructions described in this subdivision (h)(2)(C).

SECTION 7. The Department of Revenue shall publicize the changes made to the James Lee Atwood Jr. Law in SECTIONS 1 through 6.

SECTION 8. Tennessee Code Annotated, Section 55-12-207, is amended by deleting the language "a full book of business by the seventh day of each calendar month" in subsection (a) and substituting instead the language "a full book of business on a weekly basis" and by inserting the language ", including daily" at the end of subdivision (b)(2) after the language "frequent reporting".

SECTION 9. Tennessee Code Annotated, Title 29, is amended by adding the following as a new chapter:

29-44-101.

Except as provided in this chapter, a plaintiff shall not be awarded noneconomic damages, as defined in § 29-39-101, in a civil action for bodily injury, property damage, or death arising out of the use or operation of a motor vehicle if the plaintiff is the owner or operator of a motor vehicle that was not in compliance with the financial responsibility requirements of title 55, chapter 12, part 1 at the time of the use or operation. If the plaintiff is awarded economic damages, as defined in § 29-39-101, in the civil action, then the plaintiff must be assessed and held liable for all court costs incurred by all parties to the action. A defendant in the civil action may assert as an affirmative defense the limitation of recovery in this section.

29-44-102.

The limitation of recovery in § 29-44-101 does not apply if the defendant who is the operator of the motor vehicle causing the injury, damage, or death:

(1) Was cited for driving while under the influence of an intoxicant in violation of § 55-10-401 or reckless driving or aggravated reckless driving in violation of § 55-10-205 or § 55-10-209 as a result of the use or operation of the vehicle and is subsequently convicted of or pleads nolo contendere to the offense;

(2) Acted with the intent to inflict the injury, damage, or death;

(3) Failed to stop at the scene of an accident in violation of § 55-10-101; or

(4) Was in furtherance of the commission of a felony offense under state or federal law.

29-44-103.

(a) This chapter does not preclude a passenger in a motor vehicle from asserting a claim to recover noneconomic damages in a civil action for bodily injury, property damage, or death that the passenger incurred, in whole or in part, by the acts or omissions of another person arising out of the operation or use of a motor vehicle.

(b) Subsection (a) does not apply to a passenger who is also the owner of the motor vehicle at the time of the use or operation and who was not in compliance with the financial responsibility requirements of title 55, chapter 12, part 1 at the time of the use or operation.

29-44-104.

Notwithstanding a law to the contrary, an insurer does not lose any rights of subrogation for claims paid under the applicable insurance policy for the recovery of noneconomic damages.

29-44-105.

This chapter applies to civil actions filed on or after the effective date of this act.

SECTION 10. In consultation with the Departments of Safety and Revenue, the Department of Transportation is authorized to use the Department's existing permanent electronic overhead informational displays located on the interstate system to provide periodic messages to the motoring public as to the requirement of financial responsibility under Tennessee Code Annotated, Title 55, Chapter 12, Part 1 for all motor vehicles operated on public highways in this state. The Department may develop guidelines for the content, length, and frequency of any message to be placed on the displays.

SECTION 11. Sections 1 through 8 take effect July 1, 2027, the public welfare requiring it. All remaining sections of this act take effect upon becoming a law, the public welfare requiring it.